

Marketing

Chapter 1: Basic concepts of marketing

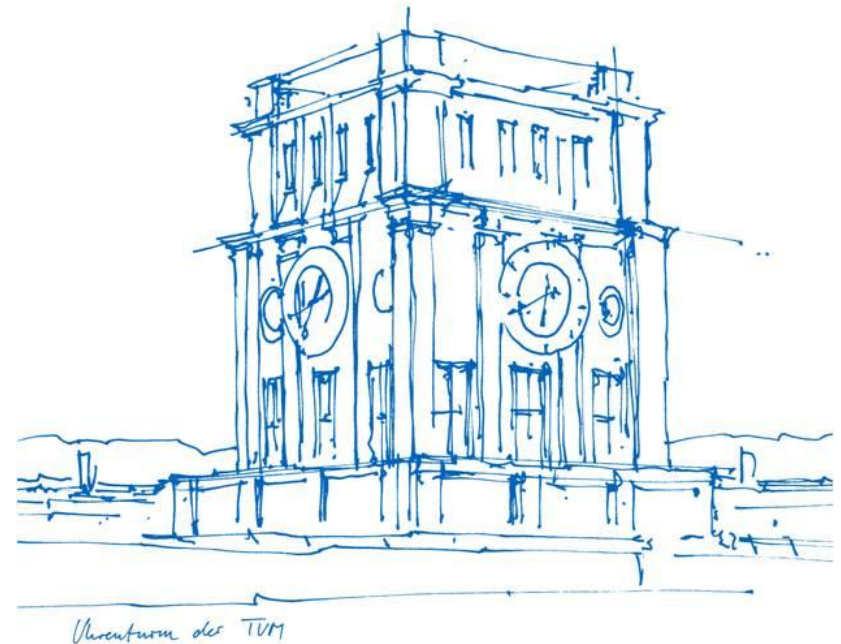
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TUM School of Management

Center for Digital Transformation

Professorship of Digital Marketing

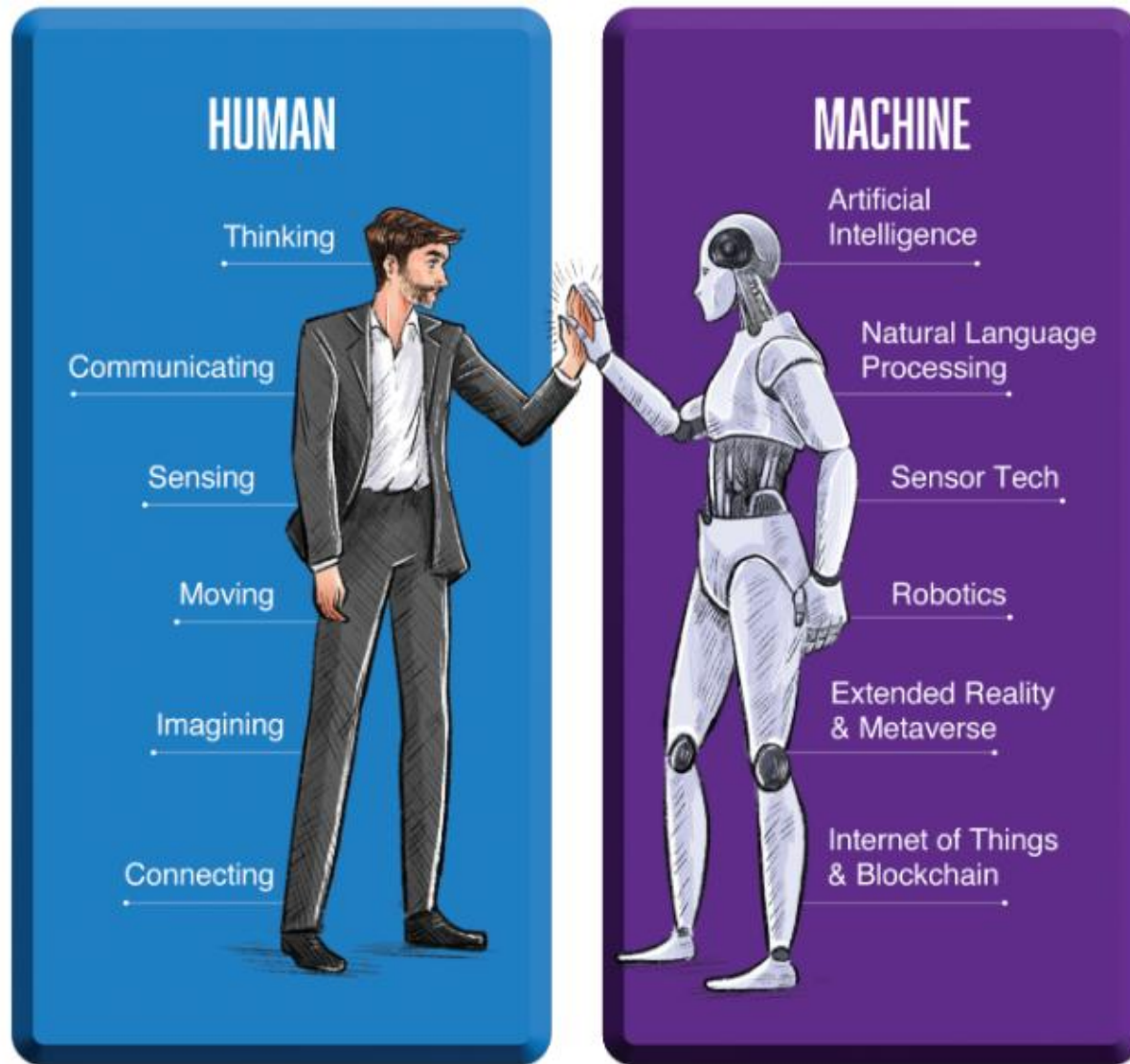


Learning goals

After studying the first chapter you will be able to:

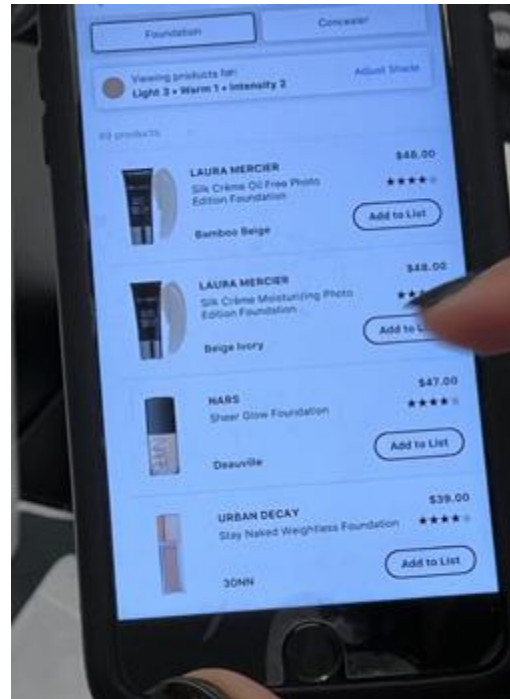
- Outline basics concepts relevant in marketing
- Describe current trends and developments
- Name central fields of action
- Explain why customer orientation is one of the key marketing principles
- Outline marketing management processes

The age of human-inspired technologies



Kotler et al. (2023) Marketing 6.0

The impact of artificial intelligence



“The Color IQ process uses a simple handheld camera to capture customers’ skin’s shades. Using this data, a proprietary algorithm with a dataset of over 10,000 skin tones matches a person with a selection of products from Sephora’s inventory sourced from 340 individual brands.” (Houlihan, R., 2021)

Source: Houlihan, R. (2021)

The impact of artificial intelligence



Source: SoftBank Robotics (2023)

Pepper is a humanoid robot that interacts with customers by making product recommendations and answering questions. It can deliver a better customer experience and promote sales and cross-selling opportunities.

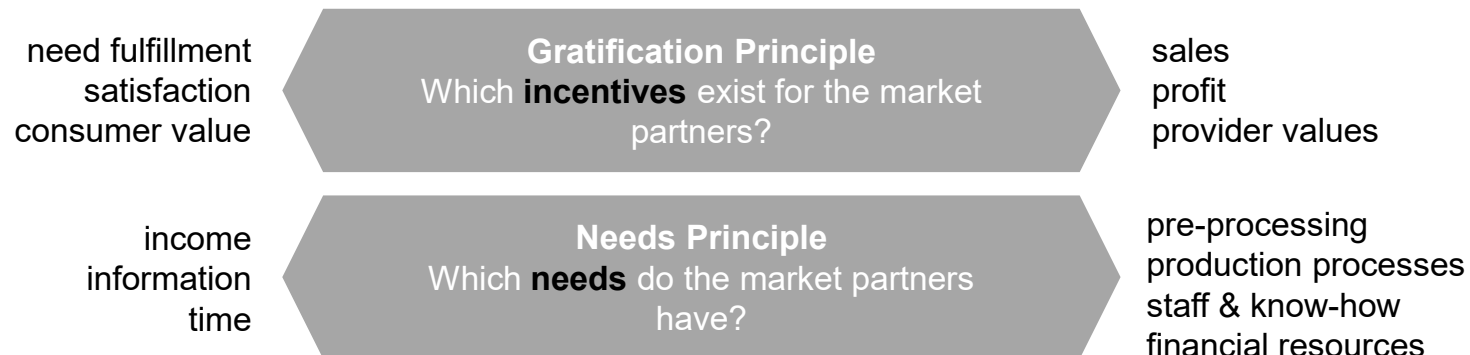
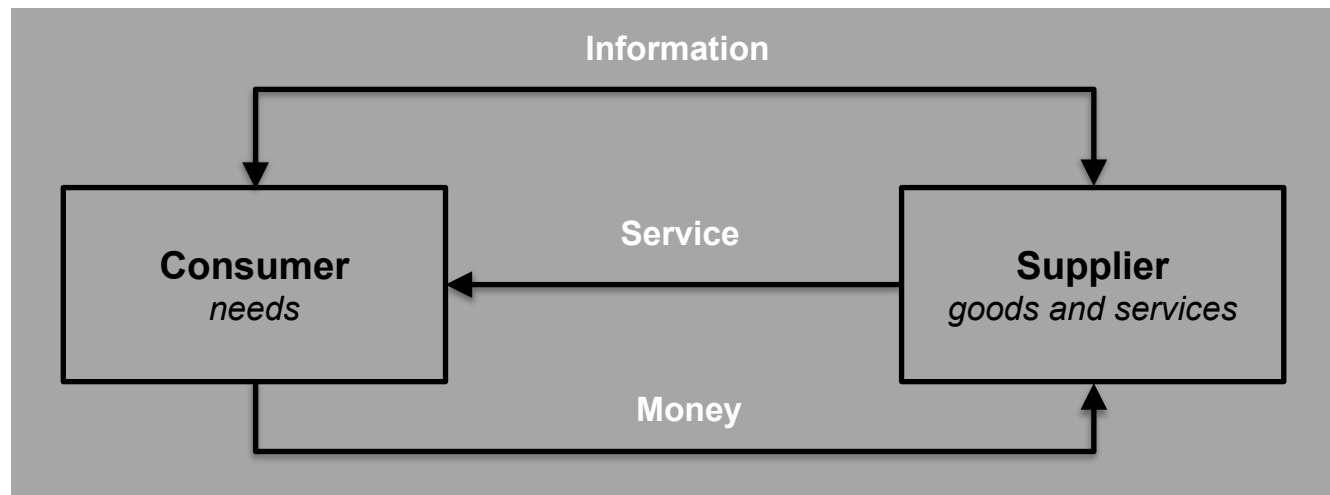
“Based on repeated interactions, many customers are likely to become increasingly familiar and comfortable with robots; in parallel, based on these interactions over time, firms can collect detailed data about a customer’s needs, preferences, and desires.”

(Noble & Mende, 2023)

“As prior work indicates, customers form more personal bonds with robots than with AI that lack any physical embodiment.”

What is marketing?

Simple supply-demand-model



What is marketing? – Definitions

"Marketing is the process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that **satisfy individual and organizational objectives.**" (AMA 1948)

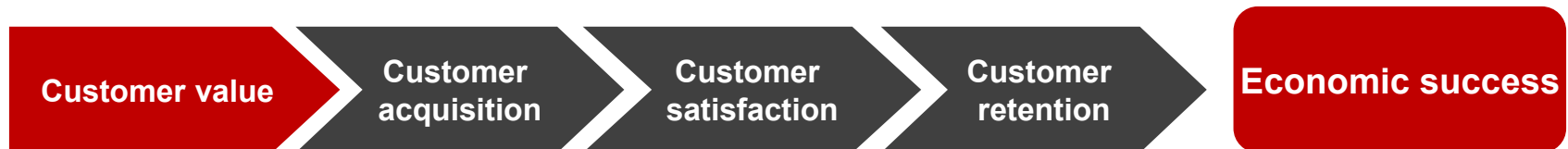
"... the key task of the organization is to **determine** the **needs, wants** and **values** of a **target market** and to adapt the organization to delivering the desired satisfactions more effectively and efficiently than competitors." (Kotler 1967, p. 14)

"Marketing is an organizational function and a set of processes for creating, communicating, and **delivering value** to **customers** and for **managing customer relationships** in ways that **benefit the organization** and its **stakeholders.**" (AMA 2004)

Marketing

- ... is more than promoting and selling products and services
- ... means to pursue a strategy of close market-orientation
- ... means to sell customer value and solutions to problems
- ... does not mean trying to please every (potential) customer but concentrating on target groups
- ... aims not only to achieve short-term sales and profit maximization but focusses on long-term economic success

From customer value to economic success



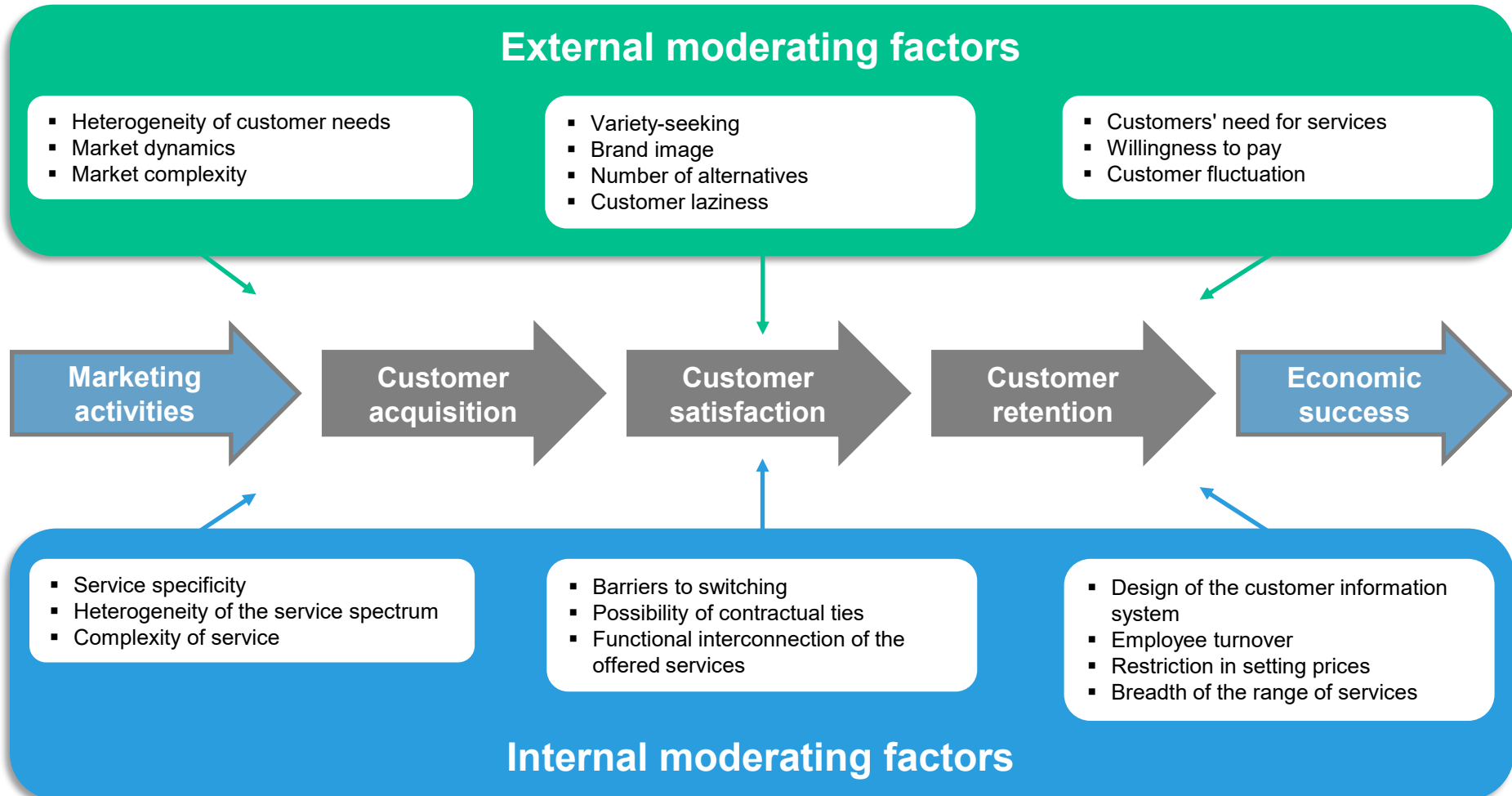
Marketing triangle



Goal: Creation and maintenance of sustainable competitive advantages through

- lasting,
- substantial (in terms of value), and
- noticeable performance (customer value) advantages

Marketing success chain and its determinants



Barriers to switching

Switching barriers (or switching costs) are any obstacles that make it difficult or costly for customers to change providers (Burnham et al. 2003).

- **Types of switching barriers:** Contractual barriers (termination fees) vs. Technological/compatibility barriers
- **Positive** (loyalty rewards) vs. **Negative** (fees, lost data) **switching barriers**

Market examples:

- Telecommunications: Mobile carriers often use two-year contracts and early termination fees as switching barriers
- Software Ecosystems: Consumers building a library of apps and data in one ecosystem (e.g., Apple iOS or Google Android) face procedural and compatibility costs to switch.

→ Excessive switching costs can draw regulatory attention if they reduce consumer welfare.

Burnham, T. A., Frels, J. K., & Mahajan, V. (2003). Consumer switching costs: A typology, antecedents, and consequences. *Journal of the Academy of Marketing Science*, 31(2), 109–126. <https://doi.org/10.1177/0092070302250897>

Traditional perspective – The marketing-mix

Marketing instrument	Example questions
Product	- How do consumers perceive products? - How do consumers use products? - What emotions (e.g., joy) do consumers associate with certain products?
Price	- How do consumers perceive the price of a product? - How important is the price for consumers' decisions? - How do consumers react to price changes? - How does the price sensitivity change when consumers create products themselves using a product configurator?
Promotion	- How do consumers process information? - Under what conditions are consumers more willing to search for information, or when are they more likely to react to emotional stimuli? - Which forms of communication lead to desired consumer responses?
Place	- How do consumers perceive a distribution channel? - How does the choice of the distribution channel affect purchase behavior? - How do consumers behave in various distribution channels?

Marketing-mix instruments



Customer equity



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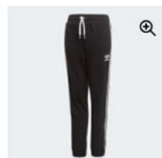
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Shaving Brush



Moroccan Neroli Shaving Serum

Reference and information potential

Reference potential (or referral value) is the customer's capacity to **bring in new customers** by recommending the brand.

- Satisfied and loyal customers often act as advocates, providing credible recommendations to peers.
- Firms actively leverage reference potential through **referral programs**.

Information potential refers to the value derived from data and insights that customers offer to the firm. This includes:

- Customers' feedback on products or suggestions for improvement can guide innovation
- Customers generate data (purchase history, browsing, usage patterns) that firms analyze to personalize offerings and improve targeting
- Involving customers in product development (co-creation)

→ Leading firms create structured channels to capture and use customer information.

Communities and forums allow customers to share experiences and solutions.

Customer acquisition

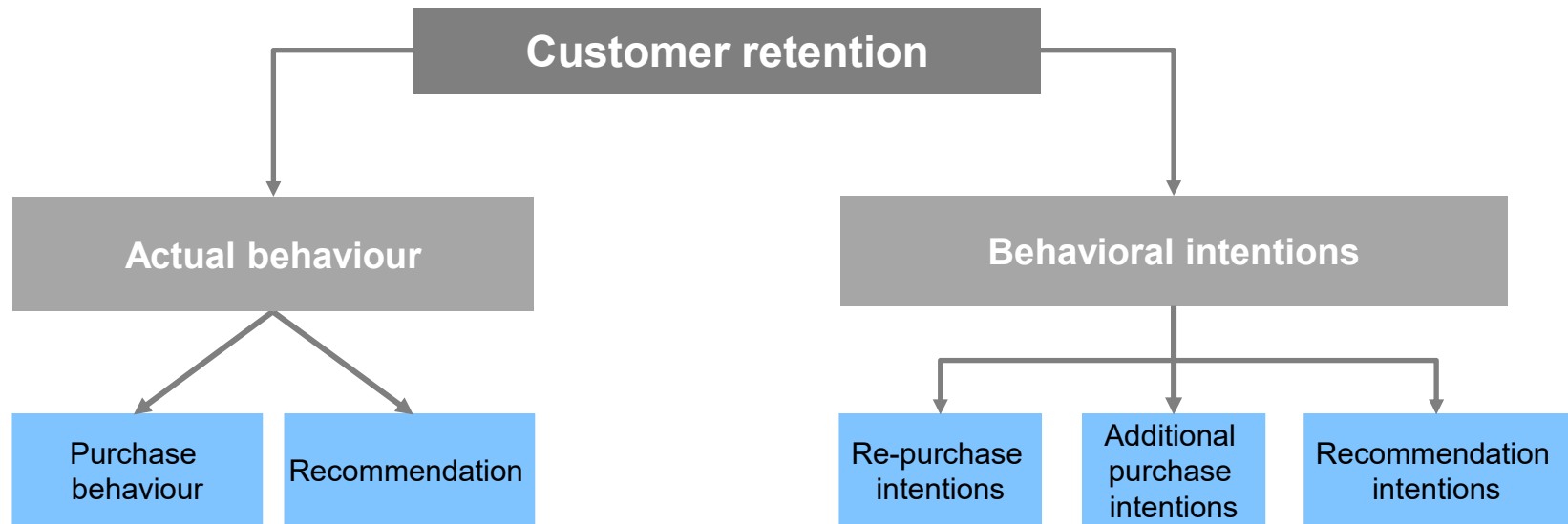
Motives for customer acquisition

- Growth in sales (take advantage of economies of scale)
- Growth in profit (increase rate of return)
- Compensate for customer turnover (securing the customer base)
- Length of repurchase cycles (e.g., for durable consumer goods)
- Specificity of target group definition (e.g., young people)

Basic questions of customer acquisition

- Which customers should be targeted?
- With which arguments and through which channels should customers be targeted?
- With which goods and services should customers be approached?

Customer retention



Customer retention is a central determinant for the efficient utilization of the acquired customer base.

Leading factors driving brand loyalty among consumers in the United States (October 2022)

Share of respondents that considered factor "important" or "critically important"

0% 10% 20% 30% 40% 50% 60% 70% 80% 90%

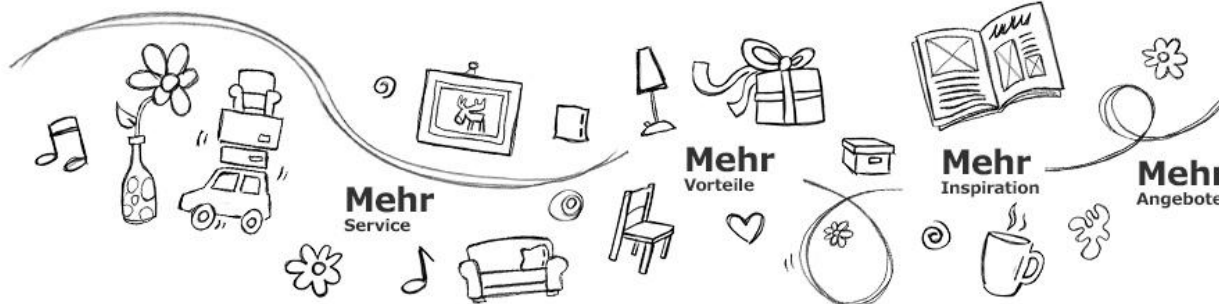
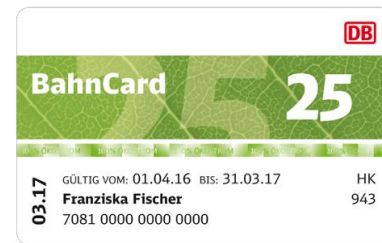


Description: Customer service was the leading factor for U.S. consumers to stay loyal to their favorite brands, according to a survey conducted between October and November 2022. Around 83 percent of the respondents considered good customer service an important or critically important driver of brand loyalty. Consumers in the United States also valued the quality of the product or service offered, product availability, plentiful range of product options, and robust data privacy policies: Each factor [...] [Read more](#)
Note(s): United States; October to November 2022; 1,561 respondents; 18 years and older
Source(s): Econsultancy; Marigold

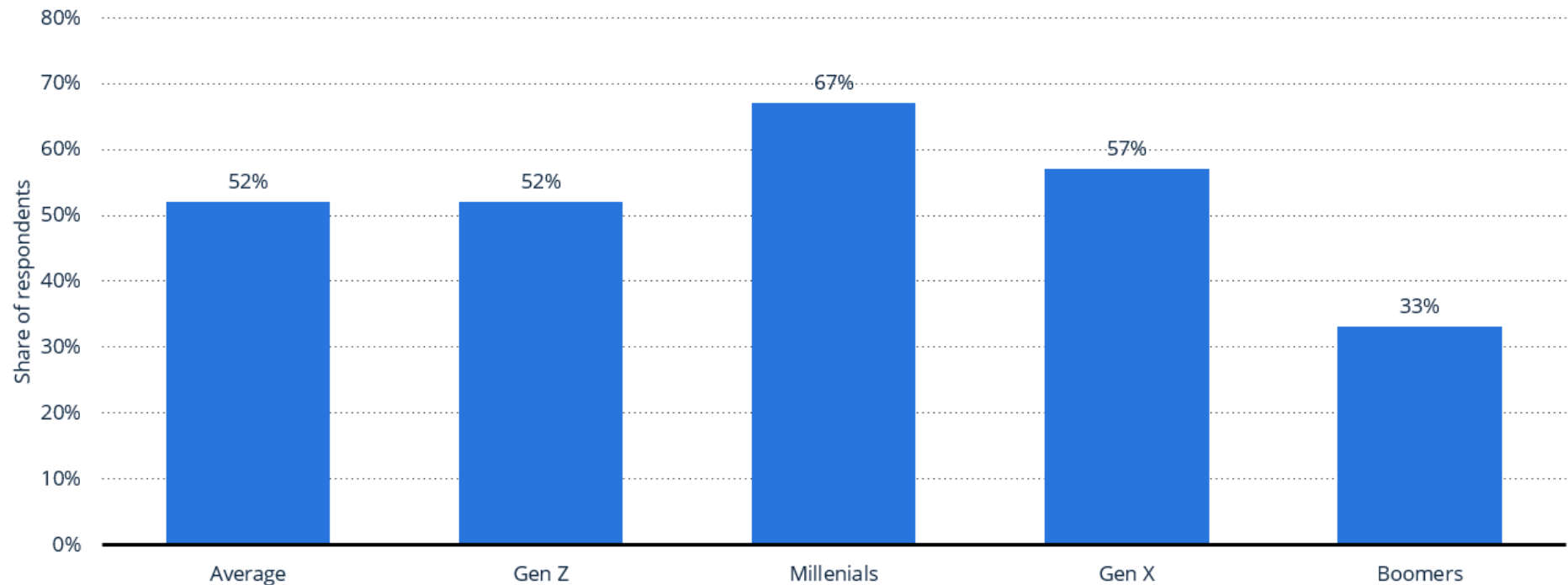
Customer retention

Means to increase customer retention and create barriers to switching

- Rebate/loyalty systems (e.g., Payback)
- Fixed price system (e.g., Bahncard)
- Customer clubs (e.g., IKEA Family-Club)
- Customer magazines (e.g., Edeka "Mit Liebe")
- Service-Hotlines
- Training courses
- etc.

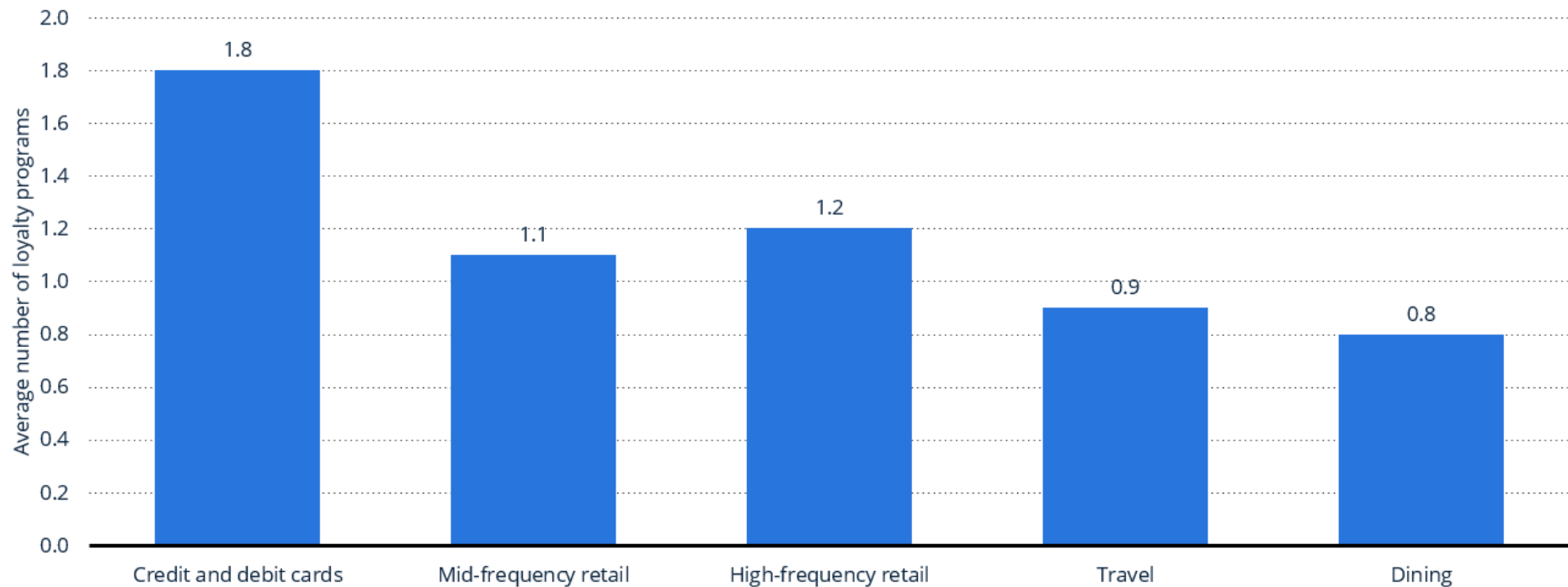


Share of consumers intending to increase their participation in loyalty programs in the United States as of November 2022, by generation



Description: According to the survey conducted in October and November 2022, 52 percent of U.S. consumers were likely to increase their participation in loyalty programs over the coming year. Among Millennials, the share was higher: Nearly seven out of 10 consumers aged 26 to 40 years intended to join loyalty programs. Over half of Gen Z consumers were likely to expand their participation in loyalty programs. [Read more](#)
Note(s): United States; October and November 2022; 1,561 respondents; 18-75 years
Source(s): Econsultancy; Marigold

Average loyalty program membership in the United States as of February 2022, by sector



Description: In a survey conducted among consumers in the United States gauging their use of loyalty programs, it was found that as of February 2022, U.S. consumers had an active subscription to 1.8 payment cards loyalty programs and 0.9 travel loyalty programs. On average consumers actively used 7.6 loyalty program subscriptions and belonged to 16.6 such programs. [Read more](#)
Note(s): November 24, 2021 to February 24, 2022; - 17,000; active memberships
Source(s): Bond Brand Loyalty

Leading features expected in loyalty or rewards programs according to consumers in the United States as of April 2022, by sector

Feature	Travel	Credit card	Everyday	Retail
Chance to win large prizes	45%	46%	54%	51%
Instant win	38%	38%	48%	48%
Track milestones	28%	22%	20%	20%
VIP tiers	25%	21%	17%	22%
Charity donation	14%	16%	17%	18%
Cryptocurrency rewards	13%	18%	12%	14%
Challenges	15%	13%	18%	16%
Badges	11%	9%	11%	11%
NFT rewards	8%	9%	9%	9%

Description: According to an April 2022 survey conducted among consumers in the United States, the chance to win large prizes appeared as the most desired feature in a loyalty or reward program in the travel, credit card, retail, and everyday products industries. Nearly 20 percent of consumers would like to see cryptocurrency rewards in credit cards loyalty programs, while 22 percent of respondents would appreciate VIP tiers in retail loyalty programs. [Read more](#)

Note(s): April 2022; 1,500 respondents; 18-65 years

Source(s): Merkle

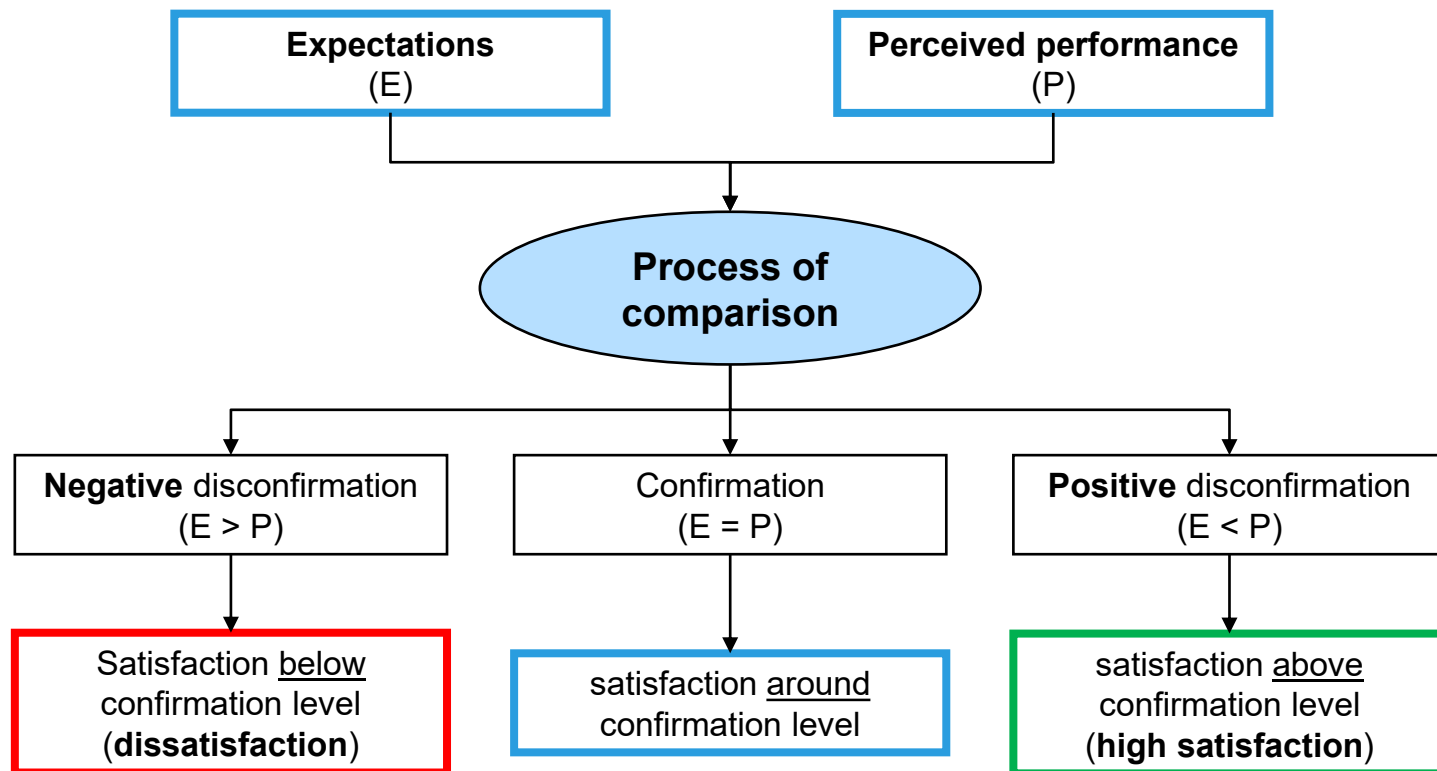
Systematization of marketing instruments according to the 3 R's

3 R's 4 P's	Recruitment	Retention	Recovery
Product	- Product value - Branding - Product improvements - Packaging	- Product differentiation - Service standards - Assortment breadth - Warranties	- Product Innovation - Value Added Services - Product improvement - Individual services
Price	- Low prices - Special offers - Bonuses and discounts - Financing offers	- Optimal price-performance ratio - Price guarantees - Price bundling	- Discounts and bonuses - One-time payments - Special conditions
Promotion	- Direct Mail - Mass communication - Sales promotion	- Customer magazines - Direct mailing - Sponsoring - Customer clubs	- Direct Mail - Personal conversation - Events
Place	- Product sampling - Promotions at POS - Direct sales - Sales talks	- Direct Marketing - Regular sales visits - Delivery services	- Exclusive sales - Key Account Management

Customer satisfaction

Customer satisfaction can be understood as the positive emotional reaction of a customer to a corporate service in the context of an exchange process.

Confirmation-Disconfirmation-Paradigm

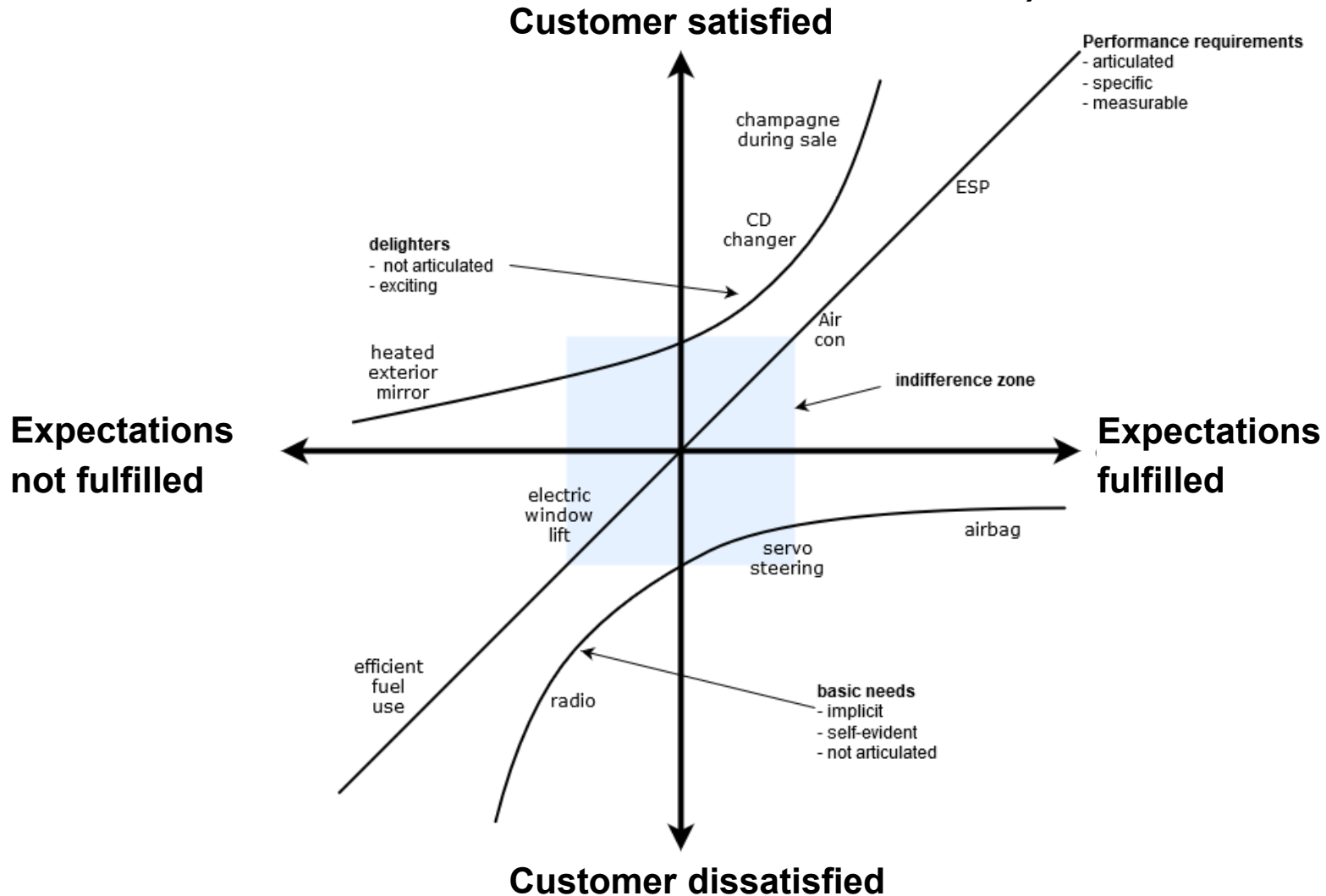


Confirmation-Disconfirmation-Paradigm

- Disconfirmation is the most robust predictor of customer satisfaction. (Szymanski and Henard 2001).
→ Managing expectations (neither over-promising nor under-delivering) is crucial since unrealistic expectations can lead to dissatisfaction even with objectively good performance.
- **Expectation dynamics:** Customers adjust their expectations over time based on experiences. → Feedback loop – a highly satisfactory experience can raise future expectations, making it harder to delight the customer next time.
- **Marketing communications** shape expectations. Setting accurate expectations (truthful advertising, clear communication of product capabilities) is key to avoid negative disconfirmation.
- **Implicit vs explicit expectations:** Not all customer expectations are explicitly known or articulated; some are implicit.

Szymanski, D. M., & Henard, D. H. (2001). Customer satisfaction: A meta-analysis of the empirical evidence. *Journal of the academy of marketing science*, 29(1), 16-35.

Customer satisfaction (Kano model)



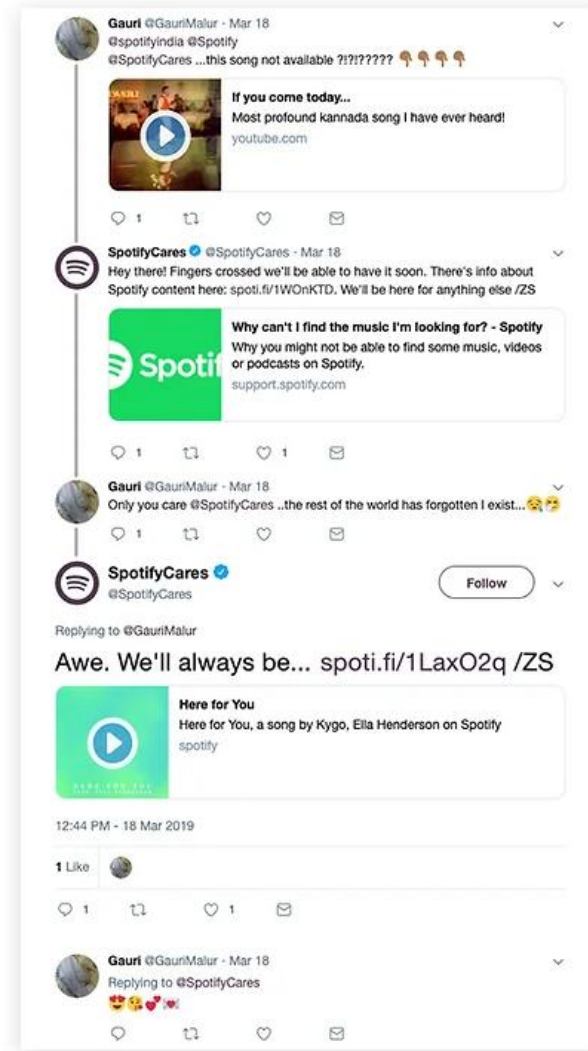
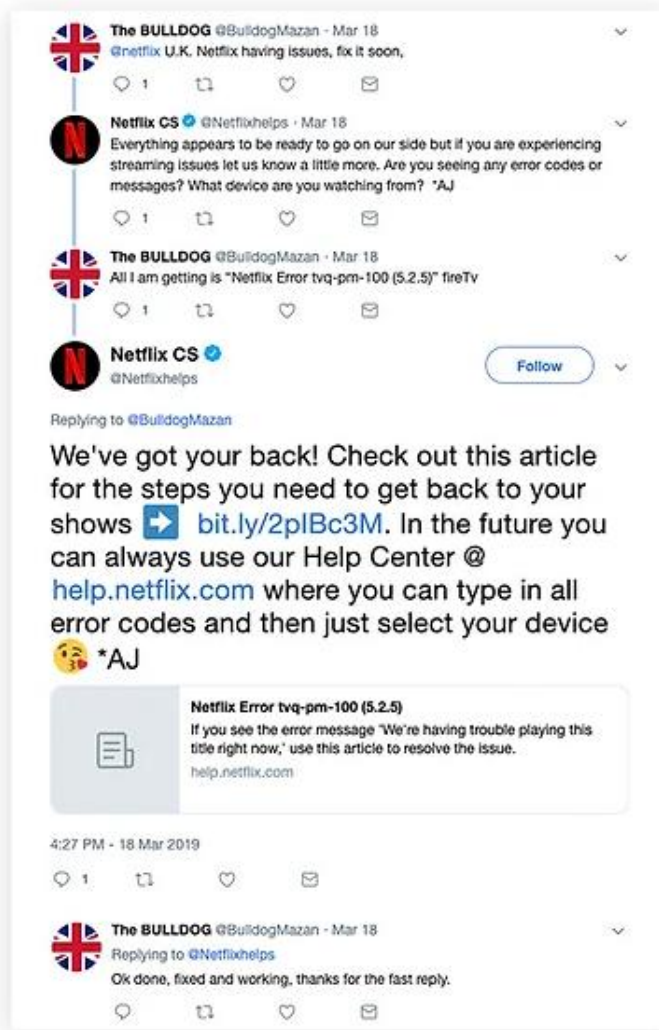
Customer satisfaction and complaints

www.davecarrollmusic.com

Customer satisfaction and complaints



Customer satisfaction and complaints



Customer satisfaction and complaints



Good social media customer service

- **Monitor mentions** → Make sure to follow through completely and never leave a customer hanging
- **Be proactive and reactive** → It's not always about fixing a bad customer experience
- **Be personal** → Know who handled what interaction, it gives customers a sense of the human touch
- **Have a dedicated customer service account**
- **Guide customers in the right direction**
- **Think 24/7**
- **Use the right tone** → Write tweets as if they were standing face-to-face with you
- **Provide speedy support**
- **Be transparent**

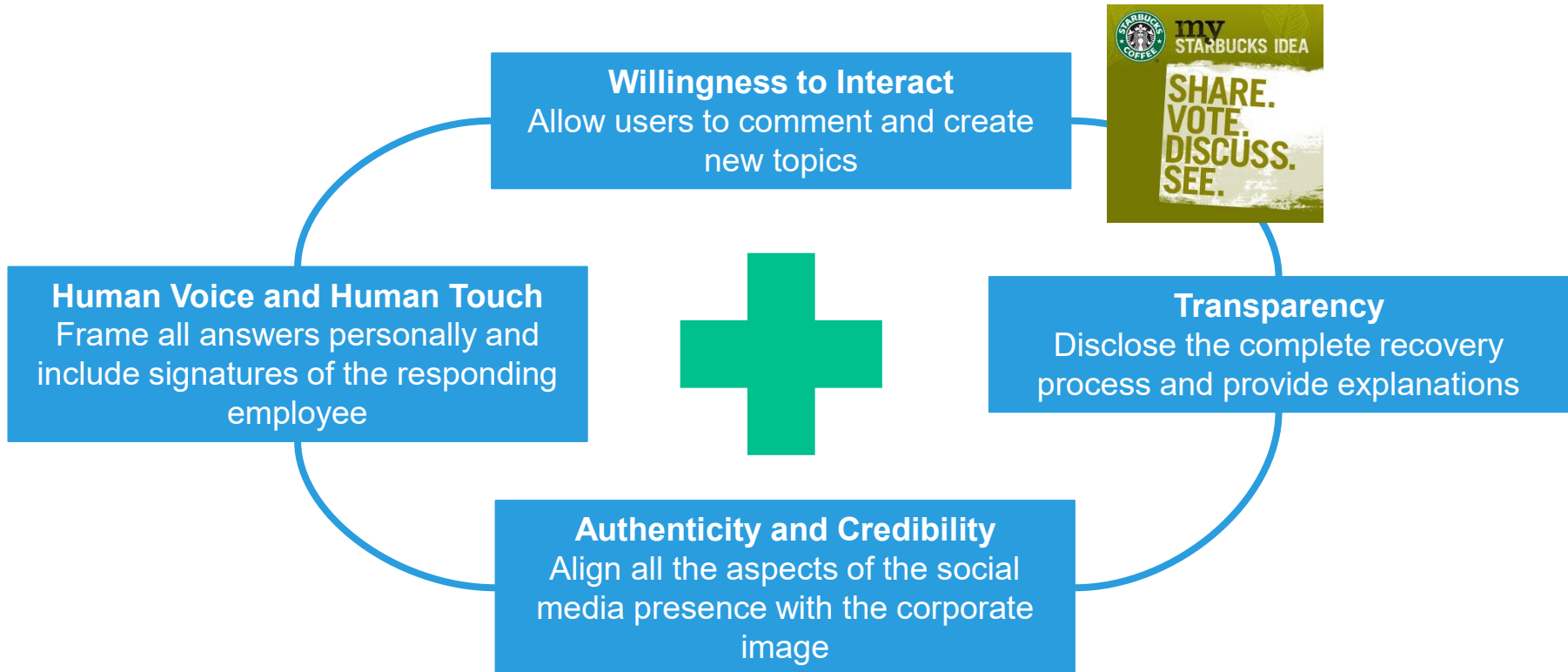
For more examples, go to: <https://www.wixanswers.com/post/examples-social-media-customer-service>

Customer satisfaction and complaints

	Private	Public
Voiced	Privately Voiced Complaint ▪ Direct Complaint to service provider via private channels (face-to-face, telephone, e-mail, postal mail, etc.)	Publicly Voiced Complaint ▪ Direct complaint to service provider via public channels (Facebook, brand pages, twitter hashtags, etc.)
Hidden	Privately Hidden Complaint ▪ Private complaints to friends, family, colleagues, etc., not addressed to the service provider ▪ Switching brands/providers ("exit")	Publicly Hidden Complaint ▪ Public complaint via review websites, weblogs, Facebook walls, etc., not addressed to the service provider ▪ Third-party action (better business bureau, government agency, media, etc.)

Hogreve et al. 2013

Effective social media complaint handling



Important: Avoid "**Double-deviation**"

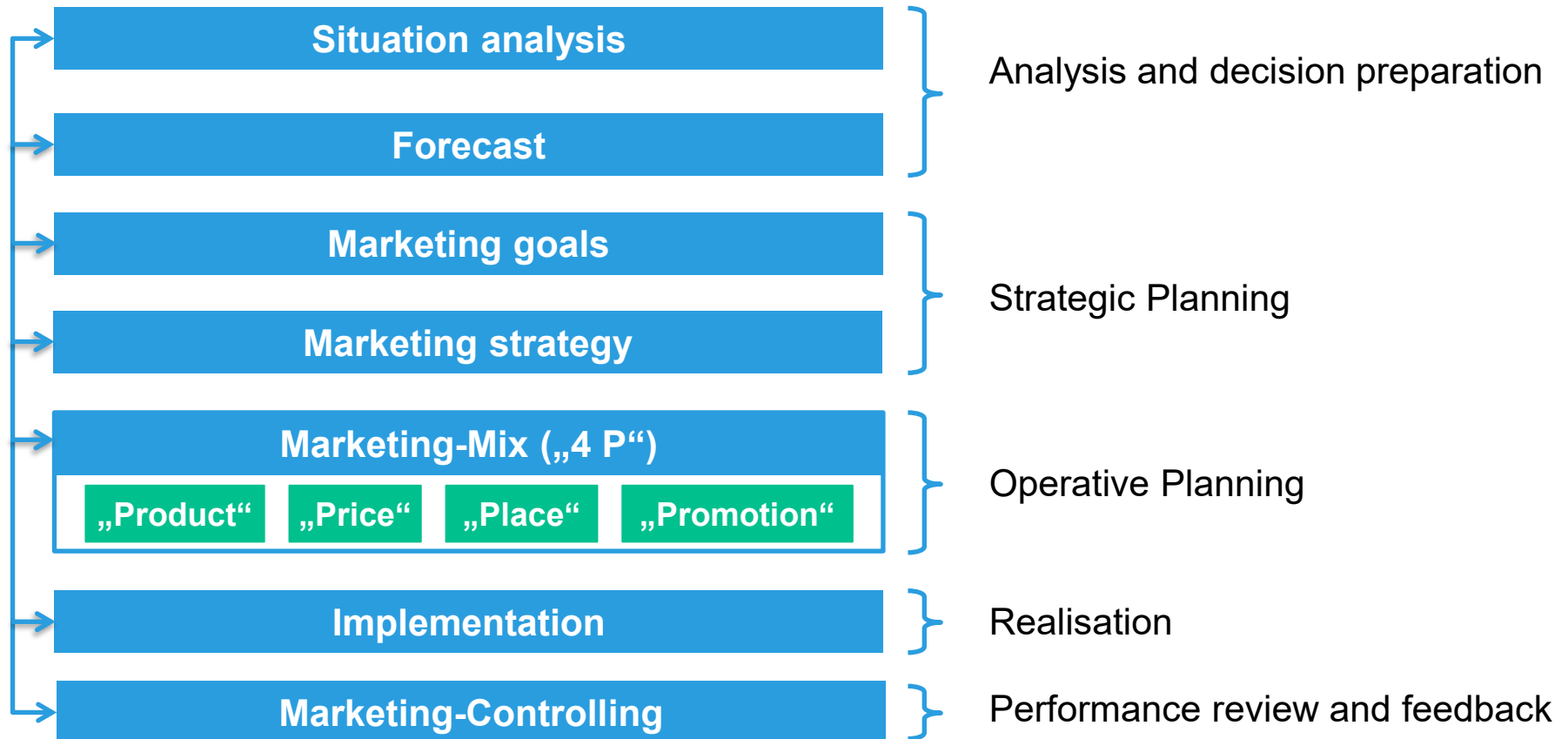
Hogreve et al. 2013

Customer recovery – Example service recovery

<https://www.youtube.com/watch?v=fHuMRbbfQko&t=250s>



Marketing as a management process



Consumer behavior and marketing

Buyer Behavior & Consumer Behavior:

“Consumer behavior is the study of consumers’ choices during searching, evaluating, purchasing, and using products and services that they believe would satisfy their needs.” (Schiffman et al. 2019)



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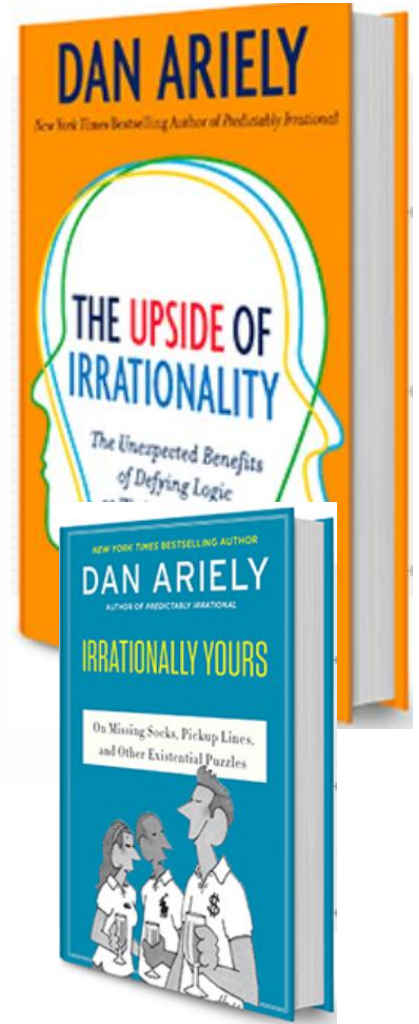


PORSCHE

Consumer behavior and marketing

Irrational buying behavior?

- Presence of healthy food option “licensed” consumers to eat unhealthy food
- Estimated burger calories decreased over 100 calories when accompanied by three celery sticks.
- How and why do consumers make decisions based on other factors than facts and rationality?



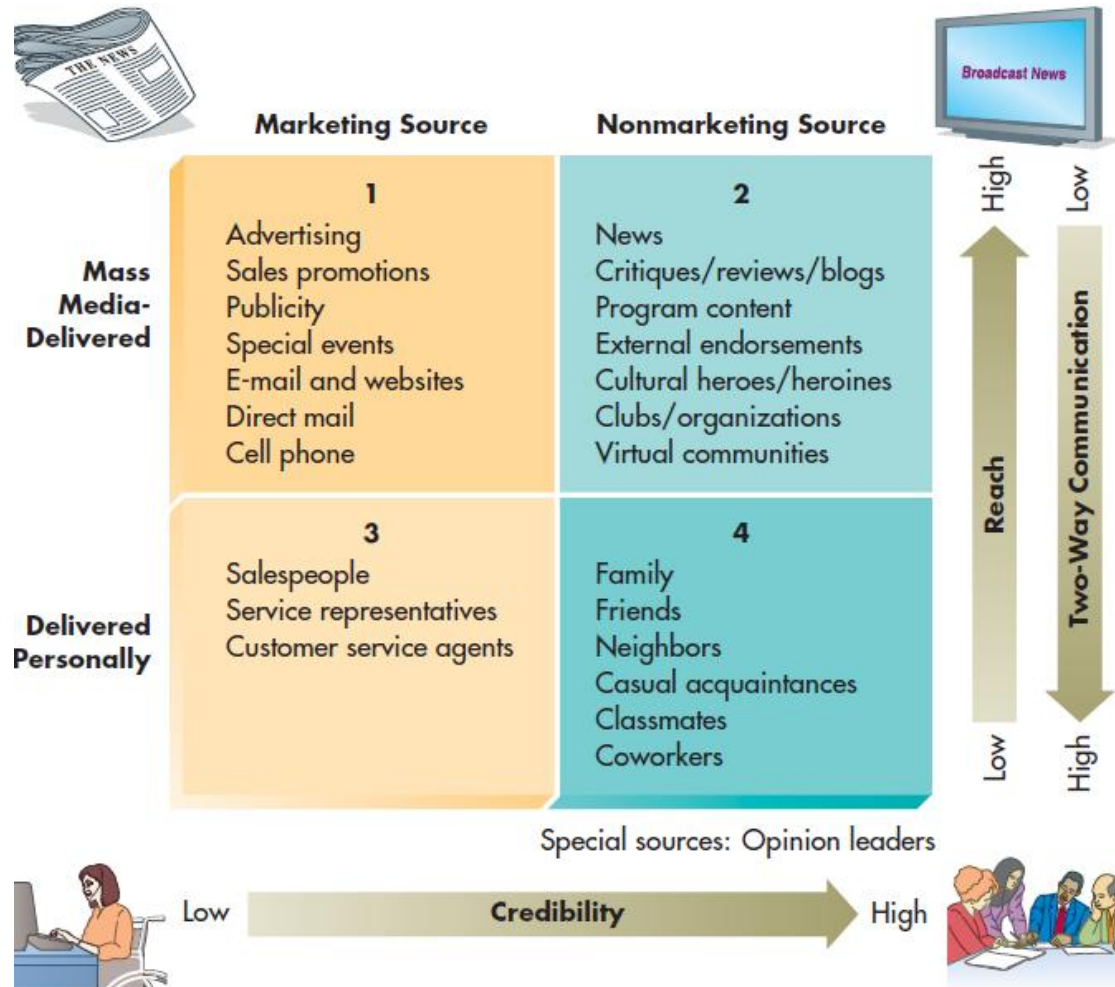
Consumer behavior and marketing

Key questions

- Who or what initiates the purchase? (**initiator**)
- Who makes the purchase decision? (**decider**)
- Who makes the purchase? (**buying actor**)
- What is purchased? (**object**)
- When to buy? (**time of purchase**)
- Where to buy? (**place of purchase**)
- How much is purchased? (**purchase quantity**)
- Why? (**buying motives**)
- What are the consequences of the purchase? (**repurchase effects**)

Goal: Make general statements ("If-then statements") that are valid under certain conditions!

Sources of influence



Hoyer & MacInnis (2010)

Segmentation

A **segmentation** of the market makes it possible to approach target groups. Segmentation is based on information about consumers and their behaviour.

Possible variables:

Demographics (age, gender, social class, occupation, religion, etc.)

Geography (region, country)

Psychography (personality, lifestyle, etc.)

Behavioral patterns (brand loyalty, duration of use, expectations, etc.)

Main goal of segmentation: Formulate marketing strategies!



Segments should be....

- **Identifiable**
- **Profitable**
- **Reachable**

Segmentation: Psychographic measures

Psychographic	Statements
Personal Values*	I have a sense of belonging. I seek fun and enjoyment in life. I am self-fulfilled. Financial security is important to me. My greatest achievements are ahead of me. I am more conventional than experimental. My social status is an important part of my life.
Apparel and Fashion*	I buy clothes I like regardless of current fashion. My friends often ask me for advice on fashion. Men do not notice women who do not dress well.

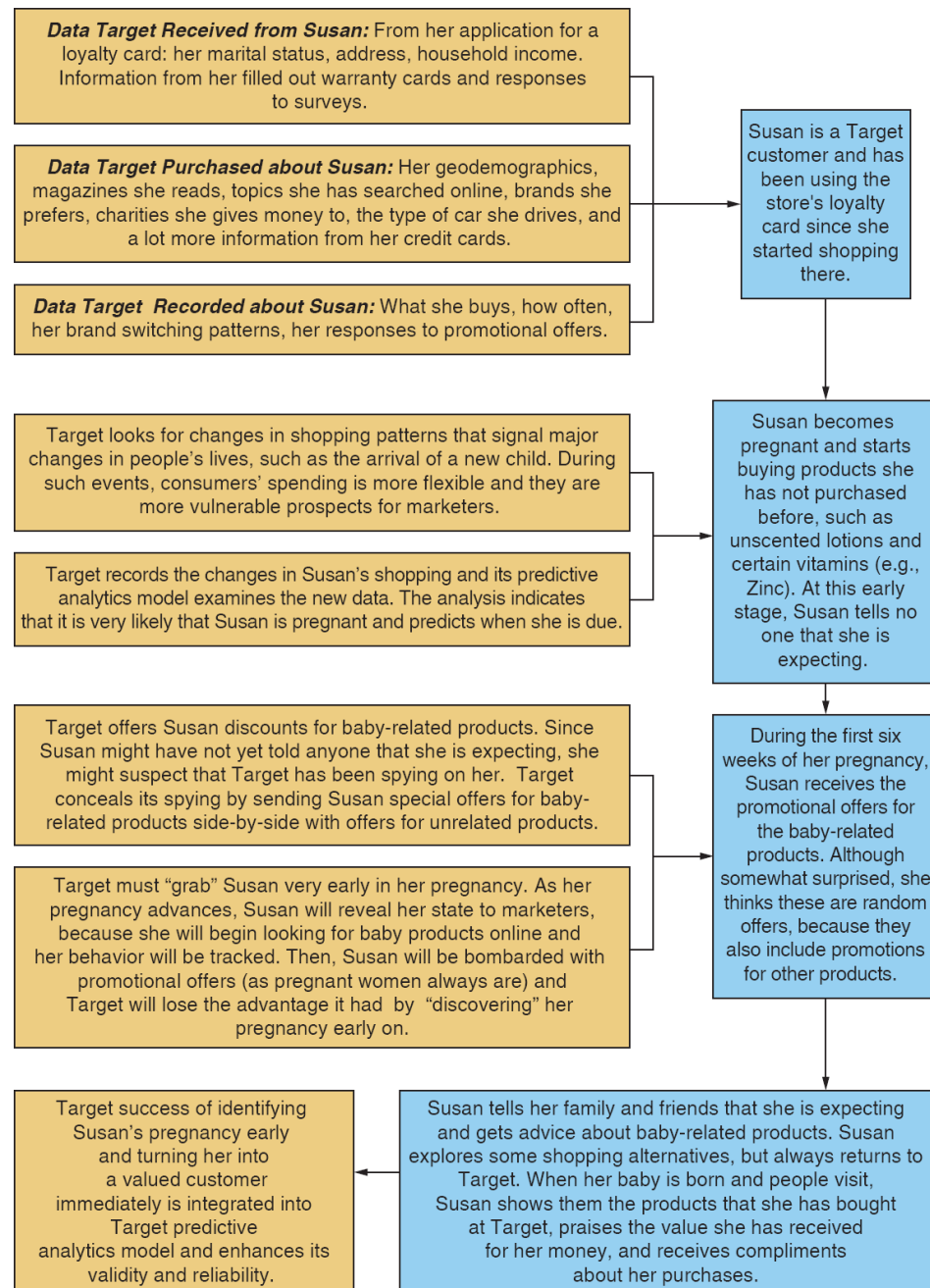
Schiffman et al. 2019

Segmentation: Psychographic measures

Psychographic	Statements
Gift Giving*	I generally give gifts because people expect me to. I try to give gifts that carry personal messages to recipients. Gifts always communicate love and friendship.
Personal Relationships*	I find it hard to speak in front of a group. When I make friends I always try to make the relationships work. I enjoy making my own decisions. Others usually know what's best for me.
Buying Online*	It requires too much time to set up accounts with online stores. The look of a website is an important factor in my buying decisions. I tell others about my experiences in buying online.
At Leisure**	Played adult games (e.g., cards or mahjong) Visited art gallery or museum Went hunting or shooting Went to the movies Attended a sporting event

Schiffman et al. 2019

Targeting – an example



Schiffman et al. 2019

Targeting and Communication

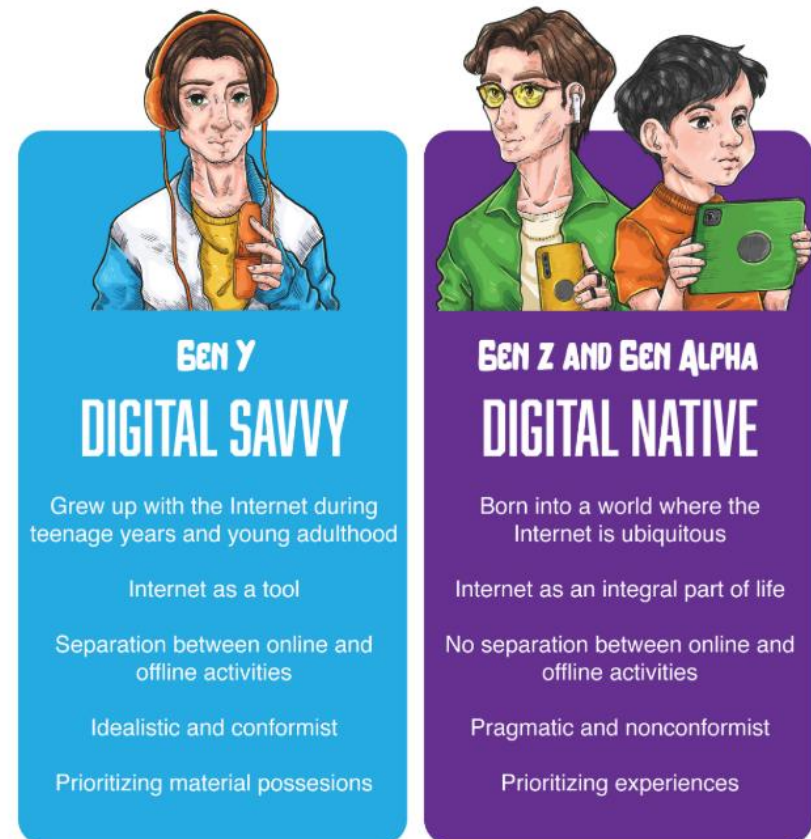


<https://www.youtube.com/watch?v=3hq1K4zS8kw>

The emergence of phygital natives

Shift from GenY to Gen Z (Born Mid-1990s to Early 2010s) & Alpha (Born After 2010)

- Younger cohorts are **true digital natives** who have grown up with technology from the start.
- Both generations are **constantly connected** through multiple screens, even in social situations.
- They engage in gaming, social media, and short-form content such as TikTok and Instagram.
- They prefer **personalized content** and tend to **ignore irrelevant messages**, especially long-form ads.



Kotler et al. (2023) Marketing 6.0

The emergence of phygital natives

Gen Z & Alpha Behavior and Attitudes

- **Seamless Integration:** Gen Z and Gen Alpha seamlessly move between offline and online worlds—checking prices in stores via smartphones, browsing social media, and interacting both digitally and physically.
- **Technology-Enhanced Shopping:** Preference for immersive, integrated shopping experiences blending physical stores with online elements, such as apps for in-store navigation.
- **Online Identity:** Invest time in creating and expressing their digital persona through social media platforms, gaming avatars, and online interactions
- **Uniformity in Digital Presence:** Unlike Millennials, they maintain consistent identities across multiple platforms, showcasing individuality in both the digital and physical realms.
- **Authenticity & Self-Expression:** Prefer brands that align with their values, such as sustainability, and appreciate authenticity over staged perfection.

The emergence of phygital natives

Marketing Implications

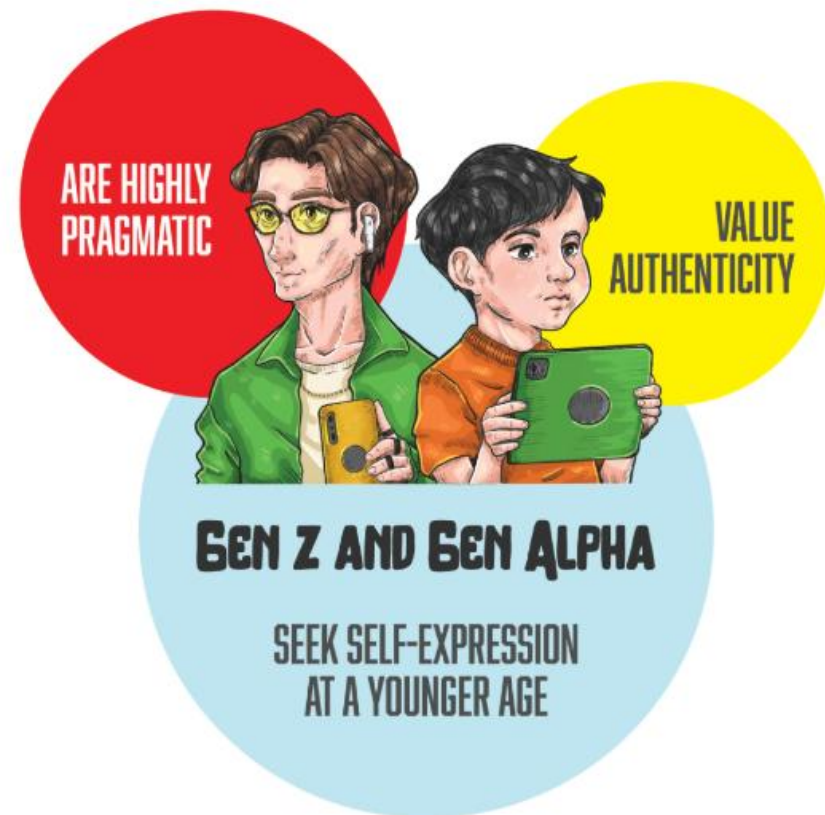
Brand Alignment:

Marketers must emphasize sustainability, diversity, and authenticity to appeal to these younger generations.

Integrate Online and Offline Experiences:

Use both digital and physical touchpoints to create engaging, immersive experiences that resonate with the lifestyle of phygital natives.

How can brands effectively communicate values to these mature, tech-savvy generations without compromising their authenticity?



Kotler et al. (2023) Marketing 6.0

Types of purchasing decisions

	Household	Company or institution
Individual	1: Purchase decision of a consumer	2: Purchase decision of a „ representative “
Group	3: Purchase decision of a family/community	4: Purchase decision of a „ buying center “

1. **Individual purchasing decisions:** Consumer makes private individual consumption decisions; this area is the focus of consumer behavior research.
2. **Individual purchasing decisions in organizations:** Representative makes purchases for a company or institution.
3. **Collective purchasing decisions of households:** Takes into account collective purchasing decisions for consumer goods as well as the different roles of family members.
4. **Collective purchasing decisions in organizations:** Collective decisions that are made in a buying center (most often in a business-to-business marketing context).

Types of goods

- **Convenience Goods** – consumer goods that a consumer buys frequently, without much hesitation, with a minimum of external information and price comparisons (daily demand).
- **Shopping Goods** – consumer goods, the selection and purchase of which is based on price/performance ratio, quality or adequacy. The consumer makes comparisons with regard to substitution options (e.g. household appliances)
- **Speciality Goods** – consumer goods that have unique characteristics, so that consumers accept high purchasing efforts and high information-gathering costs, because the goods place a heavy burden on their budgets. In addition, there is often a high identification with the product or brand (e.g. cars).



Types of goods

- **Search Properties**, i.e., customers can fully assess performance characteristics by inspection before purchase.
- **Experience characteristics**, i.e., buyers can only fully assess performance characteristics after purchase.
- **Trust Properties**, i.e., buyers cannot assess performance characteristics either before or after purchase.



Degree of cognitive and emotional involvement

		Cognitive involvement	
		low	high
Emotional involvement	high	impulsive buying decision (e.g. trendy decoration, sweets at cashpoint)	extensive buying decision (e.g. purchase of real estate, car)
	low	habitual buying decision (e.g. purchase of milk, bread)	primarily rational buying decision (e.g. purchase of assurance, investment fund)

Cognitive Involvement - Intensity of Information Search

Emotional Involvement - Strength of Emotional Reactions

Habitual buying decision

Characteristics:

- Habitual behavior is based on **shopping habits**.
- **Prefabricated purchasing decisions** are converted into purchases.
- Usually consumers have a strong preference for a single brand/alternative.
- **Fast decisions**
- Ensures fast, low-risk purchases
- Relevance, especially for convenience goods

Habitual buying decisions are underway "quasi automatic" (reactive) and are caused by:

- Own user experiences (learning process, conditioning)
- Recommendations from others
- Personality traits (need to simplify lifestyle)

Habitual behavior has a long-term effect: A consumer follows solidified purchasing plans and develops brand, product or company loyalty

Impulsive buying decision

- High emotional activation
- Unplanned, rapid action
- mentally hardly controlled

Purchasing stimulants:

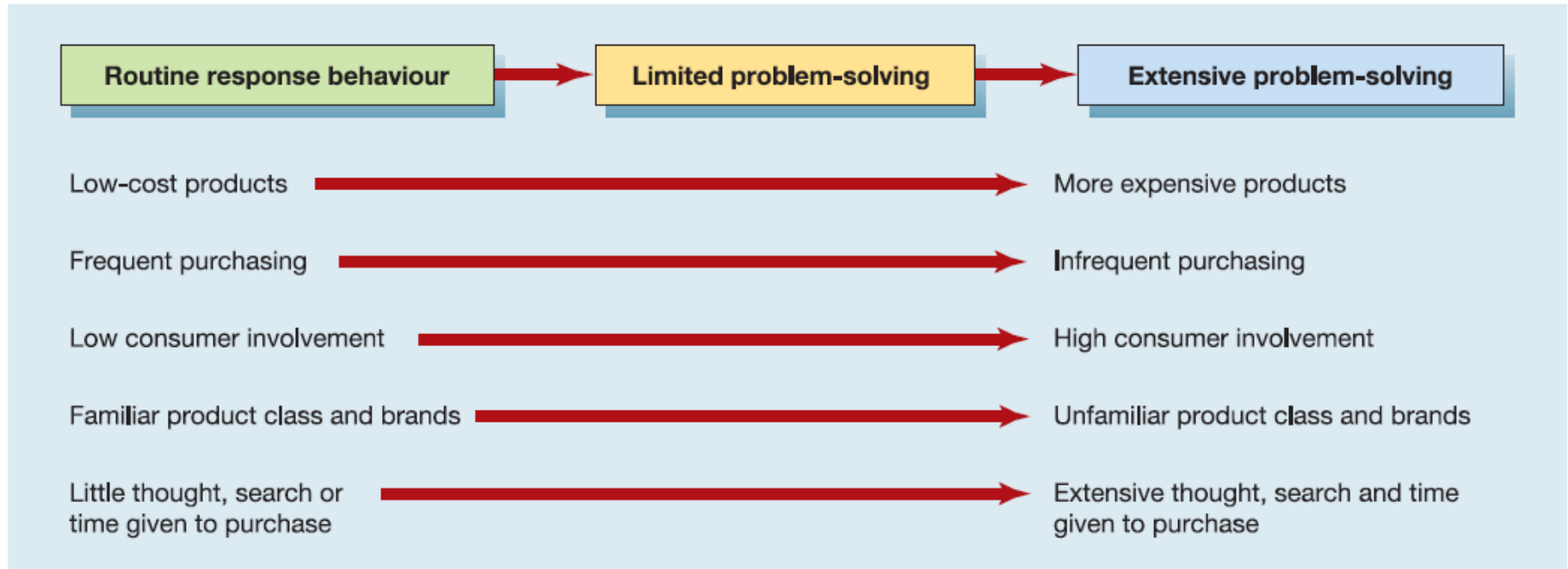
- Product placement
- Presentation
- Product design
- Display material, etc.



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A continuum of buying decision behavior



Solomon et al. (2006)

Characteristics of limited vs. extended problem-solving

	Limited problem-solving	Extended problem-solving
Motivation	Low risk and involvement	High risk and involvement
Information search	Little search Information processed passively In-store decision likely	Extensive search Information processed actively Multiple sources consulted prior to store visits
Alternative evaluation	Weakly held beliefs Only most prominent criteria used Alternatives perceived as basically similar Non-compensatory strategy used	Strongly held beliefs Many criteria used Significant differences perceived among alternatives Compensatory strategy used
Purchase	Limited shopping time; may prefer self-service Choice often influenced by store displays	Many outlets shopped if needed Communication with store personnel often desirable

Solomon et al. (2006)



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